

AFFIX SEAL HERE

FORM TP 2008114

CANDIDATE-PLEASE NOTE!

You must sign below and return this booklet with the Answer Sheet. Failure to do so may result in disqualification.

Signature _____

TEST CODE **01239010**

MAY/JUNE 2008

C A R I B B E A N E X A M I N A T I O N S C O U N C I L

**SECONDARY EDUCATION CERTIFICATE
EXAMINATION**

PRINCIPLES OF ACCOUNTS

Paper 01 – General Proficiency

90 minutes

19 MAY 2008 (p.m.)

READ THE FOLLOWING DIRECTIONS CAREFULLY

1. In addition to this test booklet, you should have an answer sheet.
2. Each item in this test has four suggested answers lettered (A), (B), (C), (D). After reading the item you are about to answer, decide which choice is best.
3. On your answer sheet, find the number which corresponds to the item and blacken the space having the same letter as the answer you have chosen. Look at how it is done in the sample item below.

Sample Item

Prime cost is calculated by adding direct factory expenses to the

- (A) sale of finished goods
- (B) cost of materials used
- (C) cost of raw materials
- (D) sale of finished goods

Sample Answer

(A) (B) (C) (D)

The best answer to this item is “cost of materials used”, so answer space (B) has been blackened.

4. If you want to change your answer, be sure to erase your old answer completely and fill in your new choice.
5. When you are told to begin, turn the page and work as quickly and as carefully as you can. If you cannot answer an item, omit it and go on to the next one. You can come back to that item later. Your score will be the total number of correct answers.
6. This test consists of 60 items. You will have 90 minutes to answer them.
7. Do not be concerned that the answer sheet provides spaces for more answers than there are items in this test.
8. The use of silent electronic calculators is allowed.

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO

- 2 -

1. Which of the following formulae is used to calculate "take home pay"?
 - (A) Gross pay - Net pay
 - (B) Net Pay + Deductions
 - (C) Gross Pay - Deductions
 - (D) Net pay + Gross pay
 2. A proprietor wins a motor van valued at \$10 000 and decides to put it into the business. Which of the following is the correct entry?
 - (A) Debit Motor Vehicles Account, Credit Drawings Account.
 - (B) Debit Motor Vehicles Account, Credit Capital Account.
 - (C) Debit Capital Account, Credit Motor Vehicles Account.
 - (D) Debit Bank Account, Credit Capital Account.
 3. S. Thomas purchased a machine for \$3 250 from Grell & Co. Ltd., paying \$1 250 in cash and the balance in 10 days. What is the correct procedure for recording this transaction?
 - (A) Debit machinery a/c \$3 250
Credit cash a/c \$2 000
 - (B) Debit purchases a/c \$3 250
Credit Grell Co. Ltd. \$3 250
 - (C) Debit machinery \$3 250
Credit cash a/c \$1 250
Credit Grell & Co. Ltd. \$2 000
 - (D) Debit Grell & Co. Ltd a/c \$2 000
Debit cash a/c \$1 250
Credit purchases a/c \$3 250
 4. Which of the following states the correct order of the stages in the accounting cycle?
 - (A) Journalizing, Posting to Ledger, Trial Balance, Final Accounts
 - (B) Journalizing, Trial Balance, Posting to Ledger, Final Accounts
 - (C) Posting to Ledger, Journalizing, Trial Balance, Final Accounts
 - (D) Posting to Ledger, Trial Balance, Journalizing, Final Accounts
 5. A business which owns goods valued at \$500, also has a van valued at \$1 000; it owes \$50 for goods. If it 'sells out' at these prices the owner's closing capital will be
 - (A) \$1 050
 - (B) \$1 450
 - (C) \$1 500
 - (D) \$1 550
 6. If the following lists of assets found on the Balance Sheet of a retail trader were to be arranged in order of liquidity, the sequence would be
 - (A) Motor van, Building, Bank, Fixtures, Cash, Debtors
 - (B) Cash, Fixtures, Debtors, Bank, Building, Motor van
 - (C) Cash, Bank, Fixtures, Debtors, Motor van, Building
 - (D) Cash, Bank, Debtors, Fixtures, Motor van, Building
 7. The working capital of A. Young and Sons is \$15 500 and current assets is \$16 500. What is the value of TOTAL current liabilities?
 - (A) \$ 1 000
 - (B) \$15 500
 - (C) \$16 500
 - (D) \$32 000
- Item 8 refers to the following list of balances.
- | | \$ |
|---------------|--------|
| Motor vehicle | 2 000 |
| Creditors | 3 000 |
| Debtors | 2 000 |
| Capital | 11 000 |
| Building | 10 000 |
8. What is the TOTAL value of the assets?
 - (A) \$ 12 000
 - (B) \$ 13 000
 - (C) \$ 14 000
 - (D) \$ 15 000

GO ON TO THE NEXT PAGE

- 3 -

9. Which of the following should be entered in the Petty Cash Book?
- (A) Buying postage stamps
 - (B) Buying goods for resale
 - (C) Paying salaries
 - (D) Paying wages
10. Ram Singh purchases goods valued at \$500 on credit. He pays off his bill within the grace period and so receives a 10% cash discount. How much does he pay for the goods?
- (A) \$ 50
 - (B) \$450
 - (C) \$490
 - (D) \$550
11. Which of the following is NOT a nominal account?
- (A) Carriage Inwards
 - (B) Commission
 - (C) Furniture
 - (D) Discount Allowed
12. Which of the following would NOT appear in a Cash Book?
- (A) Goods sold on credit \$100
 - (B) Payment for goods \$100
 - (C) Goods bought for cash \$100
 - (D) Sold goods for cash \$100
13. An article is subject to a 20% trade discount. Its list price is \$600. What is its sale price?
- (A) \$120
 - (B) \$480
 - (C) \$580
 - (D) \$720
14. When the Cash Book balance differs from the balance on the bank statement, the true bank balance can be determined by preparing
- (A) Statements of Affairs
 - (B) Revised Bank Statements
 - (C) Bank Reconciliation Statements
 - (D) Statments of Receipts and Expenses
15. The purchase of a motor van on credit from Things Caricom Motors Co. for use in the business should be recorded as
- (A) debit Motor Van Expense Account, credit Bank Account
 - (B) debit Purchases Account, credit Things Caricom Motors Co. Account
 - (C) debit Motor Vehicle Account, credit Bank Account
 - (D) debit Motor Vehicle Account, credit Things Caricom Motors Co. Account
16. During the year a company bought stationery for \$220 and used \$120 worth of it. How much of the stock of stationery should appear in the balance sheet?
- (A) \$100
 - (B) \$120
 - (C) \$220
 - (D) \$340
17. Under which of the following conditions would a trial balance still balance?
- I. A transaction was completely left out.
 - II. Both a debit and a credit entry were overstated by the same amount.
 - III. A debit entry was left out.
 - IV. Both a debit and a credit entry were understated by the same amount.
- (A) I, II and III only
 - (B) I, II and IV only
 - (C) I, III and IV only
 - (D) II, III and IV only

GO ON TO THE NEXT PAGE

- 4 -

Items 18 - 19 refer to the following balances taken from the books of Sherida's Ltd. on April 30, 2007.

BALANCES	
Rent Owing	\$ 200
Cash	\$3 500
Creditors	\$1 200
Prepaid Insurance	\$ 300
Bank Overdraft	\$ 400

18. What is the working capital of Sherida's Ltd?

- (A) \$2000
- (B) \$2400
- (C) \$3600
- (D) \$3800

19. What is the Current Ratio of Sherida's Ltd?

- (A) 1 : 1
- (B) 1.5 : 1
- (C) 2.1 : 1
- (D) 3.1 : 1

20. An asset purchased for \$1 000 is depreciated at the rate of 10 percent per annum using the reducing balance method. The book value of the asset at the beginning of the third year is

- (A) \$ 800
- (B) \$ 810
- (C) \$ 900
- (D) \$1 190

Item 21 refers to the following expenses incurred by a business:

Factory repairs	\$6 000
Machinery repairs	\$2 000
New machine	\$3 000
New vehicle	\$7 000

21. What is the TOTAL capital expenditure?

- (A) \$6 000
- (B) \$7 000
- (C) \$8 000
- (D) \$10 000

22. The formula for working capital is

- (A) current assets less current liabilities
- (B) fixed assets less current liabilities
- (C) fixed assets less current assets
- (D) total assets less total liabilities

Items 23 - 24 refer to the following information about goods bought and sold by a company.

DATE	BOUGHT		UNITS SOLD
	UNITS	UNIT PRICE	
Apr 1	40	3.00	
4	20	4.00	
5			30
8	40	2.00	
9			30

23. What is the value of stock at April 9 based on the LIFO method?

- (A) \$ 40
- (B) \$ 60
- (C) \$ 80
- (D) \$110

24. What is the value of stock at April 9 based on the FIFO method?

- (A) \$ 40
- (B) \$ 60
- (C) \$ 80
- (D) \$110

25. The MAIN purpose of preparing financial statements is to

- (A) determine gross profit
- (B) meet the objectives of the business
- (C) determine whether capital has increased
- (D) make informed financial decisions

26. What is the journal entry for recording a debit closing balance in the Rent Expense Account?

		DR	CR
		\$	\$
(A)	Rent Expense Account Accrued Rent Account	500	500
(B)	Accrued Rent Account Rent Expense Account	500	500
(C)	Prepaid Rent Account Rent Expense Account	500	500
(D)	Rent Expense Account Prepaid Rent Account	500	500

Item 27 refers to the following information provided by a business.

Current Assets \$ 6 000
Current Liabilities \$ 1 100
Acid Test Ratio 5 : 1

27. The value of closing stock is

- (A) \$ 500
- (B) \$5 500
- (C) \$6 500
- (D) \$7 200

28. M Harry and Sons created a provision for Doubtful Debts for the first time. Which accounting principle did the business follow?

- (A) Separate entity
- (B) Consistency
- (C) Prudence
- (D) Accruals

29. B. Pascal, a sole trader, started the year owing \$6 000. The business only paid \$5 000 for the year. The \$5 000 was recorded in the Trading and Profit and Loss Account. Which accounting concept was breached?

- (A) Separate entity
- (B) Accruals
- (C) Consistency
- (D) Prudence

30. A company's rent expense account had an opening debit balance of \$2 000. During the year \$6 000 was paid for rent. At the end of the year there was a closing debit balance of \$1 500 in the account.

What was the rent expense recorded for the year?

- (A) \$6 000
- (B) \$6 500
- (C) \$7 500
- (D) \$9 500

31. A sole trader paid \$12 000 for the rental of a building. The opening prepayment was \$2 000 and closing prepayment was \$1 000. What is the journal entry to record the amount to be transferred to the Profit and Loss account?

- (A) Dr Rent expense \$12 000
Cr Cash \$12 000
- (B) Dr Profit and Loss Account \$13 000
Cr Rent expense \$13 000
- (C) Dr Rent expenses \$13 000
Cr Profit and Loss Account \$13 000
- (D) Dr Profit and Loss Account \$15 000
Cr Rent expense \$15 000

Item 32 refers to the following summarized position of Foster and Scott Limited at March 6, 2008 was as follows.

	\$
Current Liabilities	60 000
Current Assets	100 000
Fixed Assets	200 000
Long Term Liabilities	150 000

32. What was the capital of Foster and Scott Limited at March 6, 2008?

- (A) \$ 40 000
(B) \$ 90 000
(C) \$150 000
(D) \$190 000

33. A standing order of \$25 for insurance appears in the debit column of the Bank Statement. This amount does not appear in the Cash Book. How is this item treated in order to update the Cash Book?

- (A) Subtract the \$25 from the Bank Statement Balance.
(B) Add the \$25 to the Bank Statement Balance.
(C) Credit the Bank Account with \$25.
(D) Debit the Bank Account with \$25.

Item 34 refers to the following information.

V. Jones	\$
Net Pay	1 200
Income Tax	300
National Insurance	50

34. What is Mr. Jones' gross pay?

- (A) \$ 850
(B) \$ 950
(C) \$1 450
(D) \$1 550

35. Single-entry bookkeeping refers to a situation where

- (A) every debit entry is balanced by an equal credit entry
(B) credit and debit are not recorded in separate columns
(C) all the information is recorded in one book
(D) the firm employs only one book-keeper

36. Control accounts are kept so as to assist management in

(A) limiting expenditure
(B) locating errors
(C) increasing profits
(D) limiting drawings

Item 37 refers to the following information.

Balances of the Asset Accounts of the Bayroe Club as at June 30, 2007.

Premises	\$5 400
Equipment	\$1 825
Furniture	\$ 960
Bank and Cash	\$ 1640
Stock of refreshment	\$ 72

37. The amount of the accumulated fund is

(A) \$1 640
(B) \$4 497
(C) \$8 185
(D) \$9 897

38. Mr. Smith does not keep proper records. He began business with \$10 000 in the business bank account. He uses his vehicle and building worth \$6 000 and \$15 000 respectively as part of his business. Customers owe him \$4 000. He withdrew \$1 500 for personal use and owes creditors \$2 000.

What is the capital of the business?

(A) \$25 500
(B) \$28 500
(C) \$31 500
(D) \$41 500

39. Mr. Harris does not keep full accounting records. However he has provided the following information.

Cash purchases for the year	\$ 3 900
Cash paid for goods supplied on credit	\$27 850
Creditors at 01 January	\$ 970
Creditors at 31 December	\$ 720

What figure will appear as purchases in Mr. Harris' Trading Account?

(A) \$27 600
(B) \$31 500
(C) \$31 750
(D) \$32 000

40. A trader keeps incomplete records. At the beginning of the year, fixed assets are valued at \$32 000. A van worth \$28 000 is purchased during the year along with stock worth \$5 000. The value of fixed assets at the end of the year was

(A) \$11 000
(B) \$17 000
(C) \$21 000
(D) \$60 000

Item 41 refers to the following information provided by N. Ramdial.

January 1	Debtors Control A/c balance sheet	\$16 000 (DR)
	Cash received from debtors	\$12 000
	Returns Inwards	\$ 1 000
	Discounts Allowed	\$ 500
	Cash sales	\$6 000

January 31	Debtors Control A/c balance sheet	\$ 5 000 (CR)
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41. What is Ramdial's TOTAL sales for the month of January?

- (A) \$2 500
- (B) \$5 000
- (C) \$6 000
- (D) \$8 500

42. Mrs Allen invested \$20 000, Mrs Brown invested \$5 000 and Mr Cable invested \$5 000 in the same business. The loss sustained during the year was \$1 000. The Partnership Agreement is silent on the item of losses, although profits are to be split in the ratio, $\frac{2}{5}$, $\frac{2}{5}$, $\frac{1}{5}$ in favour of Allen, Brown and Cable respectively. How much of the loss must be borne by Mr Cable?

43. According to the Partnership Act, if there is no Deed of Partnership, the amount of profit to be received by EACH partner would be

- (A) 5% on capital invested
- (B) in proportion to capital invested
- (C) in equal share
- (D) 5% of net profit

44. Tom, Percy and John formed a partnership and agreed that profits were to be shared in the ratio 1:1:2 respectively. The net profit for the year was \$18 900. What was John's share of the profit?

- (A) \$ 4 725
- (B) \$ 9 450
- (C) \$14 175
- (D) \$18 900

Item 45 refers to the following summary of receipts and payments for a club.

Subscriptions received	\$300
Rent paid	\$ 60
Purchase of games and equipment	\$150
Postage of circulars	\$ 20
Proceeds from book sale	\$250

45. What is the cash balance at the end of the month?

- (A) \$180
- (B) \$280
- (C) \$320
- (D) \$620

GO ON TO THE NEXT PAGE

46. The reward of profit received by a shareholder in a limited company is called

- (A) interest
- (B) dividend
- (C) drawings
- (D) commission

47. What is the name of the document which usually has the company's seal and which acknowledges a loan to the company at a fixed rate of interest?

- (A) Memorandum
- (B) Debenture bond
- (C) Mortgage deed
- (D) Stock certificate

48. When a company declares a dividend of 15%, the dividend warrant sent to the shareholder owning 1 500 \$1 ordinary shares is

- (A) \$ 100
- (B) \$ 225
- (C) \$1 500
- (D) \$1 515

Item 49 refers to the following information.

Type of share	No. of Units	Par value
Ordinary	20 000	\$2.00
5% Preference	10 000	\$5.00

49. A public limited company issued a prospectus offering the shares described in the table above for sale at par value.

The issue was fully subscribed. How much capital did the company raise?

- (A) \$30 000
- (B) \$40 000
- (C) \$50 000
- (D) \$90 000

50. In a co-operative society, the daily affairs are administered by

- (A) the chairman of the board only
- (B) all members meeting together
- (C) persons elected or appointed to do so
- (D) a majority of shareholders

51. Which of the following is the method by which a co-operative can raise capital?

- (A) Borrow from a financial institution.
- (B) Issue ordinary shares to a bonded group.
- (C) Sell debentures to investors.
- (D) Issue preference shares to the public.

52. Payne and Quarless decided to admit Rose as a new partner. The total capital after the admission of Rose will be \$30 000, of which Rose is to contribute \$10 000 for interest in the capital. If Rose were to bring in cash and a motor van valued at \$3 000, his admission would be recorded in the journal as

	DR \$	CR \$
(A) Cash	10 000	
Rose's capital		10 000
(B) Rose's capital	7 000	
Cash		7 000
(C) Cash	7 000	
Motor Van	3 000	
Rose's capital		10 000
(D) Rose's capital	10 000	
Motor van		3 000
Cash		7 000

Item 53 - 54 refer to the following information.

40-Plus Golf Club (I) for the month ended December 31, 2001			
	\$		\$
Rent	1 000	Profit from bar	1 500
Electricity	500	(II)	3 500
Trips to Miami	5 500	+ Subs. due (end)	<u>500</u>
			4 000
		(III)	(IV)
	<u>7 000</u>		<u>7 000</u>

53. Which of the following entries should be inserted at (I) and (II) in the table?
- (A) (I) Profit & Loss A/c
(II) Rent Received
- (B) (I) Trading A/c
(II) Subscription Received
- (C) (I) Profit & Loss A/c
(II) Subscription Received
- (D) (I) Income & Expenditure
(II) Subscription Received
54. Which of the following terms should be inserted at (III) in the table?
- (A) Net Loss
- (B) Deficit
- (C) Net Profit
- (D) Surplus

55. Which of the following is a prime cost in manufacturing accounts?

- (A) Depreciation
- (B) General expenses
- (C) Direct wages
- (D) Production overhead

Item 56 refers to the following information.

	\$
Prime cost	10 000
Overheads	16 000
Work in progress January 1	3 000
Work in progress December 31	5 000

56. What is the cost of production of finished goods for the year?

- (A) \$14 000
- (B) \$18 000
- (C) \$21 000
- (D) \$24 000

Item 57 refers to the following information.

	\$
Opening stock of raw materials	500
Purchases	2 000
Closing stock of raw materials	1 000
Direct labour	3 000
Factory overheads	4 500
Opening stock of work in progress	2 000
Closing stock of work in progress	3 000

57. From the above information, the cost of goods manufactured is

- (A) \$11 000
- (B) \$ 9 000
- (C) \$ 8 000
- (D) \$ 7 000

58. The items raw materials stock, work in progress stock, and finished goods stock, are MOST likely seen together on the balance sheet of a

- (A) supermarket
- (B) bus company
- (C) garage
- (D) shoe factory

59. P. Amos is employed by a construction company at a rate of \$7 per hour. During the week of April 6, 2001, he worked his basic week of 40 hours. The income tax due on his pay is \$20, and he is also liable to pay social security contributions of 5% of his gross pay. His net pay is

- (A) \$246
- (B) \$260
- (C) \$266
- (D) \$280

60. Mr. Abel and Mr. Blue purchased goods on credit to the value of \$50 and \$75 respectively from Mr. Kane. Another customer paid cash for goods amounting to \$550. Mr. Kane took goods at cost for himself amounting to \$500. Which of the following figures represents the balance in Mr. Kane's Sales Account?

- (A) \$125
- (B) \$425
- (C) \$675
- (D) \$925

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.